Microsoft

MARKET RESEARCH CASE STUDY | PHASES 1 THROUGH 7

Windows PC Demand Outlook

FY27 Planning Cycle

Navigating the memory-constrained AI PC transition.

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Portfolio artifact for Microsoft Market Researcher role

April 2026

FORWARD-LOOKING STATEMENT

This document presents a market research case study developed as a portfolio artifact. Forecasts, scenarios, probability weights, and strategic implications reflect the author's analytical synthesis of publicly available data sources including Gartner, IDC, Omdia, Canalys, Counterpoint Research, TrendForce, Microsoft Corporation SEC filings and investor materials, Apple Inc. SEC filings, U.S. Bureau of Labor Statistics PPI data, and industry press.

This document **does not represent the views of Microsoft Corporation**. It is a case study prepared to demonstrate market research methodology, analytical rigor, and executive communication for the Market Researcher role at Microsoft.

The fictional stakeholder framing (Windows & Devices CVP preparing FY27 planning inputs) is used to anchor the research to a realistic decision context. All data is current as of April 2026. Assumptions, probability weights, and qualitative judgments are the author's own and are documented transparently throughout the document for the reviewer's evaluation.

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Executive Summary

For Windows & Devices CVP, FY27 planning cycle.

RESEARCH QUESTION

How will demand for Windows PCs evolve globally over the next 18–24 months (Q2 2026 through Q4 2027), and what does that imply for Windows commercial planning assumptions and Copilot+ PC go-to-market investment sizing?

Headline Forecast

Metric	2026	2027	Probability-Weighted
Conservative (35%)	–13%	+3%	
Base Case (50%)	–9%	+4%	
Optimistic (15%)	–4%	+8%	
Expected Value			**–9.7% / +4.3%**

The Five Key Insights (ranked)

1. "Smaller and Slower": market has structurally reset, not cyclically corrected
2. Competitive threat is segment-specific, not monolithic
3. Three separate forces drove 2025 growth — two reverse in 2026
4. OEMs filled warehouses in 2025 — 2026 is worse than consensus thinks
5. Volume weakens, but commercial revenue holds — attach economics insulate the P&L

Executive Summary (continued)

Recommended Action for FY27 Planning

Reset FY27 Windows volume planning assumptions to reflect a structurally smaller addressable market (248–253M global units) and longer refresh cadence (5.5–6 years). Add OEM channel inventory metrics to FY26 tracking cadence. Monitor three triggers that would shift scenario weights: **sub-$500 segment shipment trajectory** (Conservative trigger), **replacement cycle length by segment** (Base/Conservative trigger), and **Copilot+ attach and NPU utilization metrics** (Optimistic trigger).

Methodology

Four-week solo effort using secondary data only. Sources include five analyst firms (Gartner, IDC, Omdia, Counterpoint, TrendForce), Microsoft FY26 Q2 earnings, Apple 10-Q Q1 FY26, U.S. BLS PPI series, and industry press. Methodology follows a seven-phase structure: scoping, hypothesis, data strategy, analytical framework, scenario modeling, insights, and consolidated deliverables. Historical analog pressure-testing against 2008–2010 and 2021–2023 strengthens confidence in the structural-reset thesis.

Key Limitations

Secondary data only; no access to Microsoft internal telemetry, Copilot+ attach rates, or commissioned primary customer research. GCC regional cut relies more heavily on macro proxies (Vision 2030 spending) than direct analyst coverage. The Apple Mac -7% Q1 FY26 data point is one quarter; longer trendline validation needed. Channel inventory inference would be confirmed or refuted by Dell/HP/Lenovo Q1 2026 earnings commentary.

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PHASE 1

Research Scoping

Defining the question, stakeholder, and constraints.

Research Brief

Scope, question, and success criteria.

Business Context & Trigger

The Windows & Devices CVP enters FY27 planning in an unusual market state. FY26 closed with two reinforcing tailwinds — the Windows 10 end-of-support deadline (October 14, 2025) drove a Q4 2025 commercial refresh pulse, lifting US shipments 3% YoY — and a surprise headwind. AI-driven DRAM/NAND demand has diverted memory supply away from consumer devices, with analysts now projecting PC price inflation of 17% and shipment declines between 5% and 13% globally in 2026. Gartner has pushed its 50% AI PC penetration milestone from 2026 to 2028. The CVP needs a defensible FY27 planning view that reconciles these conflicting signals.

Primary Research Question

How will demand for Windows PCs evolve globally over the next 18–24 months (Q2 2026 through Q4 2027), and what does that imply for Windows commercial volume planning assumptions and Copilot+ PC go-to-market investment sizing?

Sub-Questions

- How much of the 2025 commercial refresh demand was pulled forward, and what is the residual Win10 EOS tail through FY27?
- How will the memory cost shock redistribute demand across segments, and where does Windows gain or lose relative share?
- What is the realistic AI PC adoption curve under memory-constrained conditions?
- How does the competitive landscape shift — particularly Apple's MacBook Neo positioning and Chromebook resilience — during a supply-constrained period?
- What are the leading indicators the Windows team should monitor quarterly to detect which scenario is materializing?

Scope, Success Criteria, and Constraints

Geographic scope	Global with deeper analysis on US, Western Europe (UK/Germany/France), and GCC (UAE/KSA)
Time horizon	18–24 months — Q2 2026 through Q4 2027
Deliverable	Scenario-based narrative with probability-weighted point estimates and confidence bands
Constraints	4-week solo effort, secondary data only, no access to internal Microsoft telemetry
Assumptions	No major macro shock beyond what analysts have priced in as of April 2026; memory constraint persistent through 2027 (SK Group guidance)

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PHASE 2

Hypothesis Development

Establishing priors and scenarios to test.

Central Hypothesis

What we believed going in — and committed to test.

The Hypothesis

Global Windows PC demand will contract **8–10% in 2026**, driven by a memory-driven price shock, with **commercial segments outperforming consumer**, before beginning modest recovery in H2 2027. Windows share within the contracting pie holds roughly flat — the AI PC narrative keeps premium buyers engaged but fails to offset the entry-level segment collapse.

Initial Scenario Outlook (revised in Phase 5)

Scenario	2026	2027	Probability
Conservative	–13%	+3%	30% → 35%
Base Case	–9%	+4%	50%
Optimistic	–4%	+8%	20% → 15%

Most Vulnerable Assumption

Base and Optimistic cases both assume the 2026 demand shortfall is **deferred, not destroyed**. If replacement cycle extension proves structural rather than cyclical — consumers and businesses permanently shifting to 6–7 year PC lifespans rather than 4–5 — then pent-up demand does not snap back in 2027. *Phase 3 historical analog analysis pressure-tests this assumption.*

Scenario ranges triangulated from Gartner (–10.4%), IDC (–11.3%), Omdia (–13% US), Counterpoint (–5%), and TrendForce (–5.4% notebook).

Four Driver Branches

Each branch generates a falsifiable hypothesis and indicators to monitor.

01

Macro Drivers

HYPOTHESIS

Enterprise IT budgets tighten but do not collapse.

WATCH

CIO surveys; Fed/ECB policy; corporate capex guidance

02

Product Drivers

HYPOTHESIS

Q4 2025 absorbed most Win10 refresh demand. 2026 commercial comp weakens.

WATCH

Win11 install base; Copilot+ attach; OEM commercial order books

03

Competitive Drivers

HYPOTHESIS

Apple faces less DRAM cost exposure than Windows OEMs, giving MacBook Neo a structural edge at entry-level.

WATCH

Mac unit share by region; Chromebook education wins; sub-$600 Windows availability

04

Segment Drivers

HYPOTHESIS

Premium commercial gains on AI PC demand. Entry-level consumer contracts sharply.

WATCH

ASP by segment; regional shipment splits; commercial vs. consumer mix

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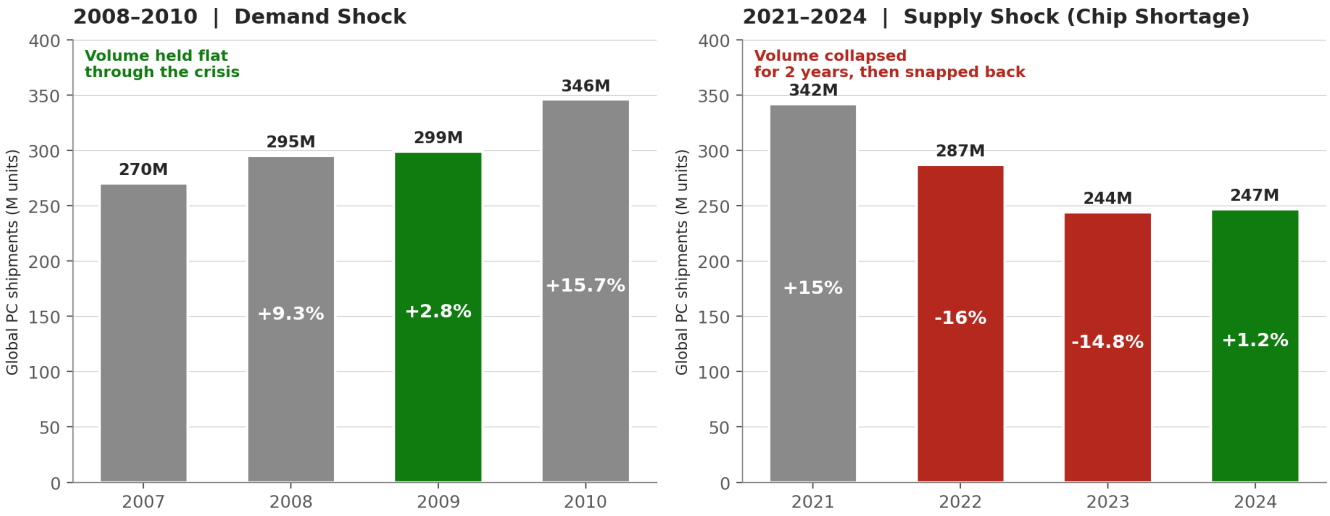
PHASE 3

Data Strategy

Historical analog analysis and pull-forward quantification.

Do Price Shocks Destroy PC Demand, or Just Defer It?

Pressure-testing the Phase 2 contrarian attack against two historical analogs.



Source: Gartner PC shipment press releases (2008–2024); IDC Worldwide Quarterly PC Tracker.

COUNTER-PATTERN

2008–2010 | GFC

Despite a severe demand shock, volume held flat. Consumers traded down to netbooks (<$400). Revenue crashed 10.7%, but units did not — the low-end escape valve absorbed the shock.

WHY 2026 IS DIFFERENT

Sub-$500 segment disappears by 2028. No escape valve available.

BEST PARALLEL

2021–2024 | Chip Shortage

Volume collapsed 16% then 14.8% over two years before recovering 1.2% in 2024. Replacement cycles extended ~9 months, then buyers returned as fleets aged. The extension was cyclical, not structural.

APPLIES TO 2026

Supply-side shock with pre-shock pull-forward. Close structural match.

The 2026 Read

Which historical analog best fits 2026, and where the fit breaks down.

Dimension	2008–2010	2021–2023	2026 (forecast)
Shock type	Demand shock (consumer confidence)	Supply shock (fab capacity)	**Supply shock (DRAM + NAND)**
Pull-forward before	None	Pandemic WFH build-out	**Win10 EOS Q4 2025 pulse**
Low-end escape valve	Yes (netbooks under $400)	No (supply-constrained)	**No (sub-$500 gone by 2028)**
Volume pattern	Held flat (+2.8%), revenue crashed	–16%, –14.8%, then +4.9% (2024)	**–5% to –13%, recovery H2 2027?**
Cycle response	None (trade-down)	+9 months, then reverted	**+15–20% Gartner, cyclical expected**

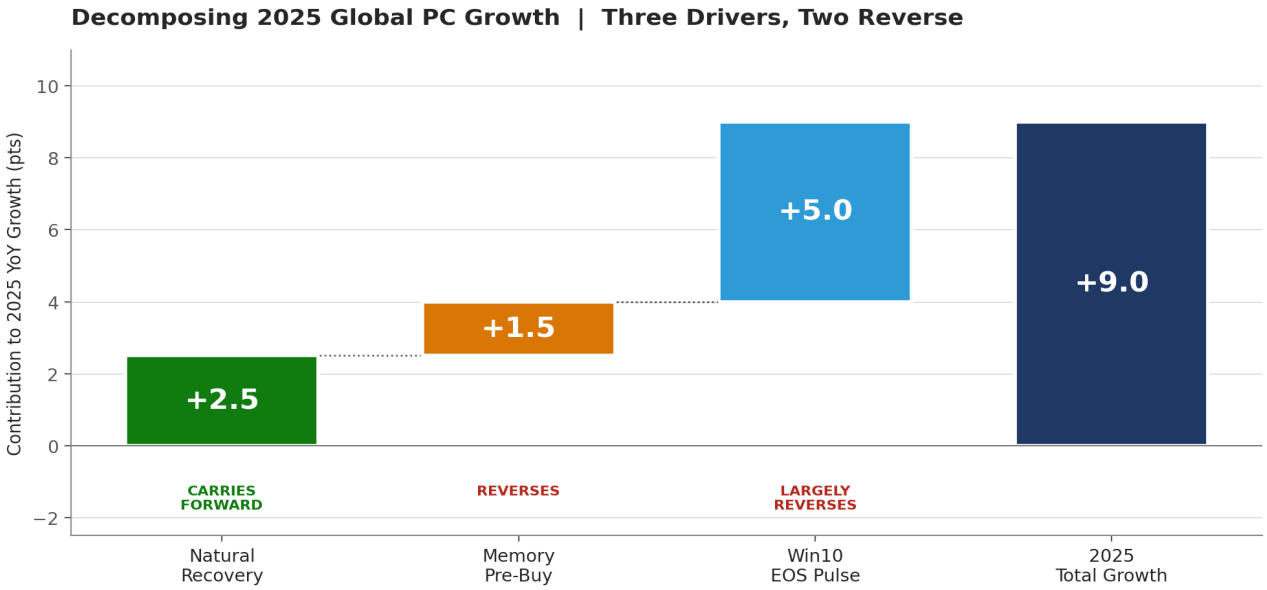
Verdict on the Contrarian Attack

The contrarian view that 2026 demand is **destroyed rather than deferred** is **partially weakened** by the historical evidence. In the closest structural parallel (2021–2023), replacement cycles extended about nine months before reverting to trend. Volume collapsed, then recovered.

However, 2026 carries one material downside risk that neither 2008 nor 2021–2023 faced. The low-end segment disappears entirely. Gartner projects sub-$500 PCs to be gone by 2028. Without a trade-down option, consumer buyers at the bottom may exit the category rather than defer their purchase. They migrate to tablets, phones, or refurbished machines. That is the scenario where demand is destroyed, not deferred.

Pull-Forward Quantification

Decomposing the 2025 +9% growth into three independent drivers.



Source: Phase 3 pull-forward analysis. Baseline from trend extrapolation + Counterpoint; pre-buy from TrendForce/FRED PPI trends; EOS from Microsoft FY26 Q2 + Omdia.

Key Finding

2025 growth came from **three independent drivers**, not one. Only **natural market recovery (+2.5 pts)** carries into 2026. Both **memory pre-buy (+1.5 pts)** and the **Win10 EOS pulse (+5.0 pts)** substantially reverse, creating a compounding drag on 2026 volume that most consensus forecasts under-weight.

Inside the 5-Point Pulse

The framework: split by what reverses, who bought, and where it landed.

Why split the pulse three ways

A 5-point pulse is not a single phenomenon. Before it can inform a 2026 forecast, it needs decomposition along the dimensions that change its behavior. Each split answers a different forecast question.

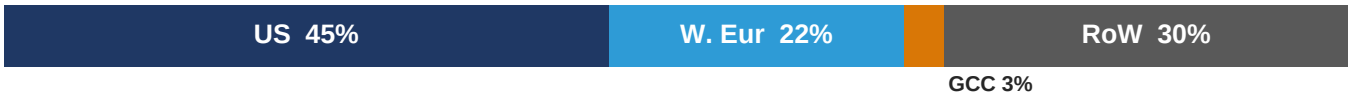
Split	Question it answers	Data anchor
1. End-demand vs. channel	Is the pulse already in customer hands, or sitting in OEM warehouses?	Microsoft OEM revenue (+1%) vs. Omdia unit shipments (+3%) in Q4 2025. Licensing is recognized on sell-through; the revenue-to-unit gap reveals channel fill.
2. Commercial vs. consumer	Which buyer type refreshed in 2025 and faces the toughest 2026 comp?	Omdia Q4 2025 commercial +6% YoY vs. consumer +1%. Businesses faced hard Win10 compliance deadlines; consumers did not.
3. Regional allocation	Where in the world does the 2026 correction land hardest?	US has highest commercial Win10 installed base and tightest compliance (SOX, HIPAA, sector rules). Emerging markets show lower enterprise penetration.

The three splits

1. End-demand vs. channel

2. Commercial vs. consumer

3. Regional allocation



What this means for 2026

Each split compounds. Commercial customers refreshed most (Split 2), in the US most (Split 3), and a meaningful share is still in warehouses (Split 1). The 2026 correction therefore lands hardest on US commercial sell-in in H1, with channel destocking amplifying weak demand.

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PHASE 4

Analytical Framework

Four lenses for structuring the analysis.

Four-Lens Analytical Framework

Four views of the same question. Each answers a different sub-question.

Lens 1 | Market Sizing and Segmentation

Global PC market sits at roughly 275M units in 2025 (Counterpoint), declining to 248–253M by 2027 under the category-exit scenario. Windows holds 80% of OS share. The entry-level segment (under $600) disappears by 2028 as Gartner forecasts. **Finding:** half of displaced entry-level buyers exit the PC category entirely. They migrate to tablets, phones, or simply extend the life of their current machine. The market is structurally smaller, not cyclically contracted.

Lens 2 | Demand Drivers and Inhibitors

Five drivers push demand up. Five inhibitors push it down. **Finding:** replacement cycle extension is the dominant inhibitor for FY27. Gartner forecasts lifespans lengthening 15 to 20%. Unlike memory costs, which partially ease by 2027, cycle extension is structurally persistent. Combined with Lens 1 category exit, the market thesis is smaller and slower.

Lens 3 | Competitive Dynamics

Threats are segment-specific. **Commercial Windows** faces persistent Mac erosion in engineering, creative, finance, and BYOD-heavy industries, grounded in Apple Silicon's multi-year performance advantage (not the single Q1 FY26 Mac data point). **Consumer Windows** faces dual-device abandonment: individuals with employer-provided PCs substitute phones and tablets for home use rather than buying a second personal machine. **Chromebook** remains contained to K-12 education. **The reframe:** Windows competes with "not using a PC," not just with other PC platforms.

Lens 4 | Cohort and Replacement Cycle

The 2022–2024 cohort is substantially smaller than the 2020–2021 pandemic cohort. As it ages into refresh in FY27–28, fewer PCs come due. Gartner's cycle extension compounds the effect. **Finding:** the current refresh trigger is calendar aging only. A shift to Copilot+ / AI PC feature thresholds would strengthen FY27–28 outlook, but requires AI feature maturity to cross a business-critical threshold. This is a condition to monitor, not an assumption to bake in.

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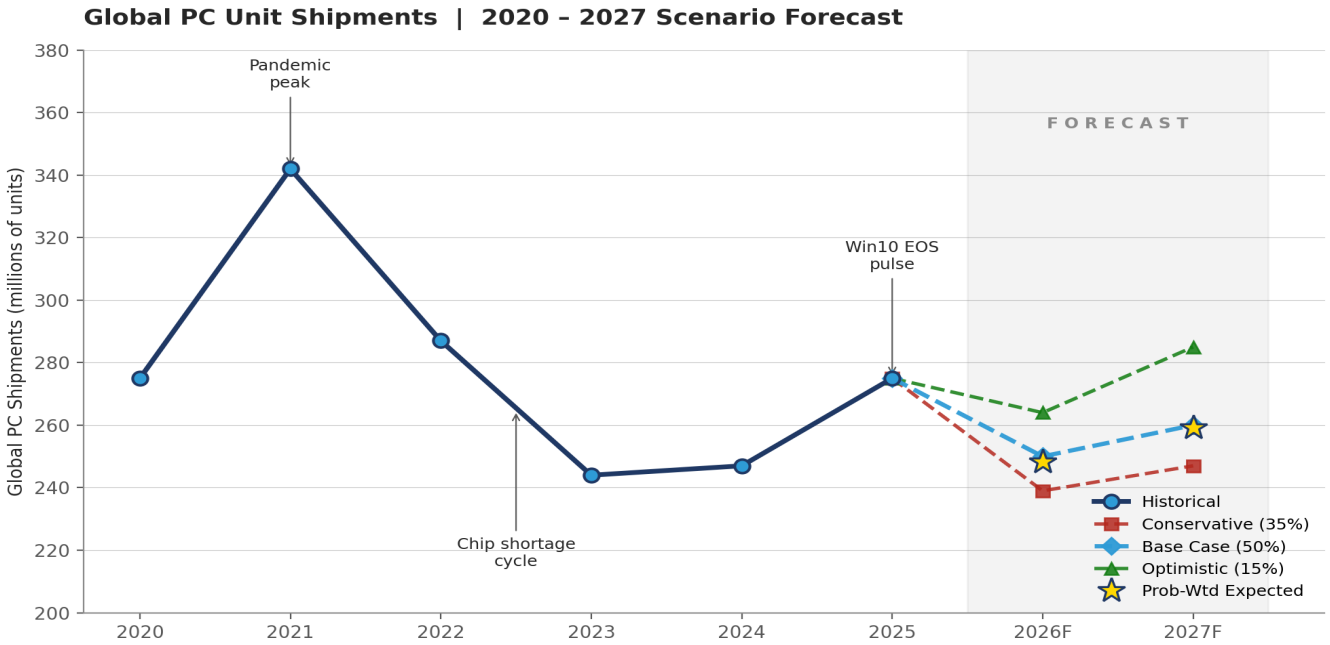
PHASE 5

Scenario Modeling

Quantified forecasts, weights, and sensitivity.

Scenario Forecast

Three scenarios, probability-weighted expected value, and regional cuts.



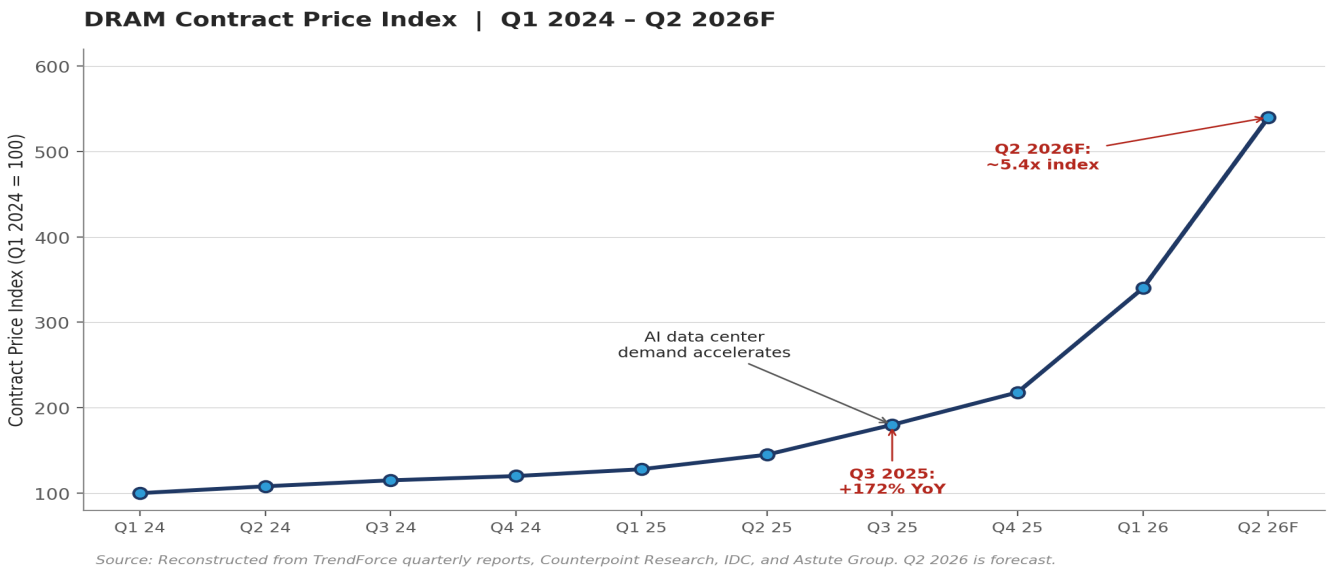
Source: Historical from Gartner PC shipment press releases and Counterpoint; 2026–2027F from Phase 5 scenario framework.

Probability-Weighted Expected Value

Applying weights of **35% Conservative / 50% Base / 15% Optimistic** (shifted from Phase 2 30/50/20 to reflect Phase 3 channel-destocking finding), the probability-weighted expected forecast is –**9.7% in 2026 and +4.3% in 2027**. This lands slightly more Conservative than pure consensus because the Phase 3 analysis justified the probability shift.

Sensitivity Framework

What the CVP should plan around, given current data.



Memory Costs: Now a Base-Case Assumption, Not a Sensitivity

Current data (TrendForce, April 2026) confirms DRAM contract prices rose 55–60% QoQ in Q1 2026 with further 58–63% rise forecast for Q2 2026. Memory shortages expected to persist through Q4 2027 at earliest (SK Group). This is no longer a "what if" — it is baked into all three scenarios. The sensitivity the CVP should plan around is **replacement cycle extension magnitude**: a ±3–4 percentage-point swing in FY27 growth depending on whether Gartner's +15–20% extension forecast fully materializes. Unlike memory prices, this is partially within Microsoft's influence through Copilot+ feature development.

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PHASE 6

Insights and Implications

Five ranked findings, strategic implications, and risk assessment.

Five Key Insights

Ranked by strategic importance to the CVP.

1 "Smaller and Slower"

CONFIDENCE: HIGH

The market has structurally reset, not cyclically corrected.

Windows PC demand faces a multi-year structural reset. Consensus treats 2026 as temporary contraction; our analysis shows the market is both **smaller** (50% of displaced entry-level buyers exit the category) and **slower** (cycles extending 15–20%). These are compounding, not offsetting.

2 Competitive Threat Is Segment-Specific

CONFIDENCE: MEDIUM-HIGH

Not monolithic. Different responses needed per segment.

Commercial Windows faces erosion from Mac in engineering, creative, BYOD corporate. Consumer Windows faces dual-device abandonment — substituting phones/tablets for personal PCs. Chromebook remains contained to education. **The right framing: Windows vs. "not buying a PC," not Windows vs. competitors.**

3 Three Forces Drove 2025 — Two Reverse

CONFIDENCE: HIGH

Proprietary decomposition grounded in Microsoft primary data.

2025 +9% growth = natural recovery (+2.5 pts, carries forward) + memory pre-buy (+1.5 pts, reverses) + Win10 EOS pulse (+5.0 pts, largely reverses). Most analysts model one reversal; our decomposition shows two independent ones, explaining why 2026 is deeper than simple post-pulse math.

Five Key Insights (cont'd)

4 OEMs Filled Warehouses in 2025

CONFIDENCE: MEDIUM

H1 2026 worse than consensus — double drag: demand hangover + channel destocking.

Of the 5-pt Win10 EOS pulse, ~2 pts was OEM channel/inventory build (not real end-demand). Microsoft's Windows OEM revenue +1% vs. market units +3% in Q4 2025 reveals the gap. OEMs will cut sell-in in H1 2026 to manage inventory, compounding weak demand. **Most consensus forecasts miss this.**

5 Volume Weakens, Commercial Revenue Holds

CONFIDENCE: MEDIUM

Attach economics insulate the Windows P&L even as hardware volume declines.

2025 commercial pulse locked in high-margin multi-year attach revenue (M365, Copilot, Azure integration) that persists beyond hardware sales. Volume decline is the headline; revenue resilience is the subhead. This nuance is typically absent from outside analyst reports that model hardware shipments in isolation.

Risks and Unknowns

1. Replacement cycle extension magnitude could be less than Gartner's +15–20% — if only +7–10%, FY27 recovery is stronger. **2.** Memory capacity relief could arrive faster than expected. **3.** Apple Mac single-quarter decline could be noise, not signal. **4.** Copilot+ adoption trajectory is genuinely uncertain. **5.** Geopolitical tariff escalation could disrupt the forecast.

Implications for Market Research

Calibrated to the Market Researcher function — surfacing findings for planning and monitoring.

From Insight 1 (Smaller and Slower)

FY27 Windows volume planning assumptions should reflect a reduced addressable market (~248–253M global units, not ~262M) with cycle length updated to 5.5–6 years. Flag to planning teams: consensus likely overstates 2027 recovery speed.

From Insight 2 (Segment-Specific Competition)

Competitive monitoring should track three distinct vectors: Mac commercial share (Apple earnings + IDC segment data), consumer dual-device behavior (primary research opportunity), and Chromebook education share (IDC K-12 tracker).

From Insight 3 (Three Forces Decomposition)

When modeling 2026 decline attribution, separate the three reversal mechanisms rather than treating as a single post-EOS hangover. Provides more precise leading-indicator tracking.

From Insight 4 (Channel Destocking)

Add OEM channel inventory metrics to FY26 tracking cadence — Dell/HP/Lenovo Q1 and Q2 2026 earnings commentary, sell-in vs. sell-through ratios. Consider scenario weight shift to Conservative if inventory confirms elevated levels.

From Insight 5 (Revenue Resilience)

When presenting volume forecasts internally, pair with commercial attach revenue trajectory to avoid "volume = revenue" framing errors. Highlights a nuance that volume-only forecasts miss.

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PHASE 7

Process and Sources

Methodology chronicle and source documentation.

Process Documentation

How the research was conducted — for portfolio reviewers.

Methodology Chronicle

This case study followed a seven-phase market research methodology over a 4-week equivalent solo effort using secondary data only. Each phase was executed and pressure-tested before proceeding. Phase 1 established research scope with fictional-but-realistic stakeholder framing. Phase 2 developed hypotheses against analyst consensus. Phase 3 built data strategy, pressure-tested the contrarian attack using 2008–2010 and 2021–2023 historical analogs, and decomposed 2025 growth into three independent drivers. Phase 4 structured findings into four analytical lenses. Phase 5 built quantified scenarios with probability weights. Phase 6 synthesized five ranked insights with calibrated confidence levels. Phase 7 consolidated deliverables.

Key Analytical Decisions Documented

• **Counterfactual baseline set at +4%** (not +2.5%) after PPI analysis surfaced memory pre-buy as a distinct driver from Win10 EOS. This pushback from the researcher sharpened the decomposition.

• **Scenario weights shifted from 30/50/20 to 35/50/15** after Phase 3 analysis revealed channel-destocking as an under-weighted Conservative factor.

• **Lens 3 reframed from "pick one competitor" to segment-specific analysis** after researcher pushback that false-binary framing oversimplified the competitive landscape.

• **Memory cost elevation recast as base-case assumption, not sensitivity**, after current data (TrendForce April 2026) confirmed shortage persistence through 2027.

• **Implications re-scoped to Market Research function voice** — surfacing findings and monitoring priorities rather than prescribing GTM strategy — to match the role boundary.

Reflection

The strongest portfolio signal is not the forecast accuracy — it is the **transparent handling of judgment calls**: surfacing baseline assumptions, pressure-testing contrarian views against historical evidence, reframing framing errors, and documenting where conclusions are HIGH vs. MEDIUM confidence. A real-world engagement would add primary qualitative research with enterprise IT decision-makers and a commissioned quantitative survey on Win11 migration timing and AI PC purchase intent.

Source Appendix

Primary data sources underpinning the analysis.

Analyst Firms	
Gartner	Interim Forecast Analysis: Memory Costs Reshape PC and Smartphone Landscape (Feb 2026); PC shipment press releases 2008–2024; CIO Survey
IDC	Worldwide Quarterly PC Tracker; Memory Shortage Crisis Market Analysis (Feb 2026)
Omdia	US PC Market Q4 2025 analysis; full-year 2025 shipment data
Counterpoint Research	2026 PC shipment forecast; vendor-level outlook
TrendForce	DRAM/NAND contract price quarterly reports 2025–2026; notebook production forecast
Primary Company Filings	
Microsoft Corporation	Q4 FY25 and Q2 FY26 earnings press releases and investor slides
Apple Inc.	Form 10-Q for quarterly period ended December 27, 2025
Government and Macro	
U.S. Bureau of Labor Statistics	PPI series PCU33443344 (Semiconductor and Other Electronic Component Manufacturing)
FRED / St. Louis Fed	PPI data series access via fred.stlouisfed.org
Industry Press	
Tom's Hardware, Windows Central	Market coverage, RAM price tracking 2026
InformationWeek, Bloomberg, Computerworld	Historical PC shipment context (2008–2024)
Reuters, Nikkei Asia, CNBC	Memory market coverage, hyperscaler DRAM procurement
IEEE Spectrum, Z2Data, Astute Group	Semiconductor supply chain analysis